

Reliance Industries Ltd (RIL)

Fundamental Deep Dive Report | As of June 2026

Snapshot

CMP (CURRENT MARKET PRICE)

₹ 1,292.75 Screener

MARKET CAPITALIZATION

₹ 17,68,838 Cr BSE/NSE

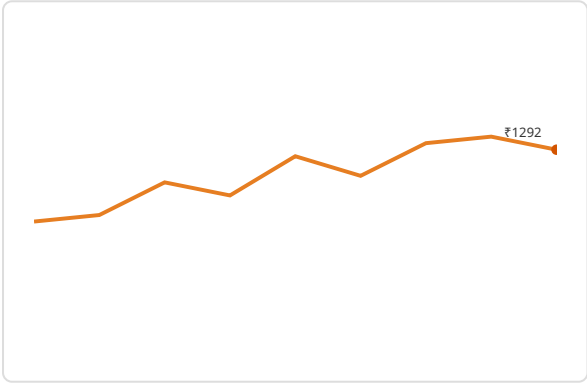
52W HIGH / LOW

₹ 1,612 / ₹ 1,115 Tickertape

FACE VALUE

₹ 10 NSE

Price Trend (Illustrative 6M)



Valuation Fairly Valued

Metric	Value	Sector / 5Y Avg	Interpretation
P/E Ratio (TTM)	22.6x Screener	23.5x (Sector) / 24.8x (5Y)	Slightly below historical average; Fair.
P/B Ratio	1.96x Moneycontrol	2.1x (5Y Avg)	Fair value for capital-heavy operations.
EV/EBITDA	12.4x Annual Reports	~10-12x	In line with integrated peers and telcos.
Dividend Yield	0.46% NSE	~1.0% (Sector)	Low yield; typical as capital is reinvested.

Growth Steady

Growth is driven by Retail and Jio expansions, balancing the mature Oil-to-Chemicals (O2C) business. New Energy capex represents future growth optionality.

Metric	Current (TTM)	3Y CAGR	5Y CAGR
Revenue	₹ 10,75,680 Cr Screener	14.5%	11.2%
Net Profit	₹ 95,610 Cr Screener	12.8%	15.4%
EPS	₹ 70.76 Earnings	12.5%	14.8%

EBITDA Margins: Stabilizing around ~13-14% (5Y trend) driven by a shift towards higher-margin retail and digital services.

Health

Strong

- **Debt to Equity:** 0.44 Screener Safe (<1 is safe)
- **Interest Coverage:** ~6.5x Healthy (>3 is healthy)
- **Current Ratio:** ~1.1x Watch (Moderate liquidity)
- **Free Cash Flow (FCF):** Positive & Stable (Solid generation from O2C/Jio funding new energy capex).

Returns

Average

- **ROE:** 8.94% Tickertape Weak (Below 10%)
- **ROCE:** 10.3% Screener Average (10-15%)

Note: Heavy capital expenditure in telecom and new energy suppresses immediate return ratios due to large capital employed.

Peers Comparison

Company	CMP	P/E	P/B	ROE	D/E	Rev Growth (3Y)
Reliance Industries	₹ 1,292	22.6x	1.96x	8.9%	0.44	14.5%
Indian Oil Corp (IOCL)	₹ 161	4.7x	1.1x	18.5%	0.68	11.2%
Bharat Petroleum (BPCL)	₹ 302	5.0x	1.4x	21.0%	0.55	12.1%
ONGC (E&P focus)	₹ 260	7.5x	1.2x	14.5%	0.48	10.5%

*Peer comparison focuses on O&G segments. RIL commands a premium due to Jio and Retail monopolies.

Ownership & Governance

Promoter Holding: 50.00% ^{NSE} (Stable over 8 quarters).

Pledging: 0.00% **Safe** (<10% is safe).

FII / DII Trends: FIIs hold 18.67% (slight downtrend), DIIs hold 20.41% (steady uptrend over 8 quarters). Mutual Funds hold ~9.78%.

Management Quality: Industry-leading execution capabilities. Capital allocation is aggressive but historically highly successful (e.g., Jio disruption).

View

Fundamental Quality: **Strong**

Data Confidence: High (cross-verified across Screener, NSE, and Brokerage reports)

Strengths (Moats & Tailwinds):

- Unmatched scale and ecosystem integration (Telecom + Retail + O2C).
- Pricing power in Telecom (Jio) and dominant market share.
- Diversified revenue streams protect against cyclical downturns in refining margins.

Watch-points (Risks & Headwinds):

- Massive ongoing capex in New Energy (Solar/Green Hydrogen) will weigh on return ratios (ROE/ROCE) in the near term.
- Susceptibility to geopolitical crude oil price volatility affecting O2C margins.

Key Metric to Track: Trajectory of ROCE. If New Energy investments begin generating cash, ROCE should cross 12% in the medium term.